NETFLIX STOCK ANALYSIS

Fundamental Investment Analysis

Prepared by
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Analysis date: 31 October 2026

Investment view: Conditional Buy

Executive Summary

My conclusion is a **conditional buy rather than an unconditional recommendation**. Netflix remains a profitable global platform with double-digit revenue growth, strong operating margins, an expanding advertising business, and significant reach. At the same time, slower revenue growth, stagnating viewing hours, rising competition from YouTube and social video, and execution risk in advertising make the investment thesis dependent on continued engagement growth.

Share price	Forward P/E	Q3 revenue growth	Operating margin
$61.60	**17.7x-18.0x**	**11.8%-12.0%**	**34.6% in Q3**

1. Company and Business Overview

Netflix is a global entertainment company whose core business remains subscription streaming. The company earns revenue primarily through paid memberships, with advertising becoming a growing second revenue stream. Management continues to allocate roughly 95% of spending, and nearly all revenue, to the core offering of original and licensed films and series, supplemented by live events.

The business benefits from global scale, a large membership base, established distribution, a strong consumer brand, and an increasingly diversified content catalogue. The company reportedly serves more than 325 million paid memberships and reaches a global audience approaching one billion people. Netflix also reaches less than 45% of approximately 800 million broadband households, leaving room for further penetration.

2. Fundamental Analysis

Factor	Evidence	Interpretation
Revenue growth	Q3 revenue rose about 12% to $12.9 billion.	Growth remains healthy but has slowed from nearly 18% in Q4 2025, showing that the company is maturing.
Profitability	Q3 operating margin reached 34.6%; full-year margin guidance was approximately 31.5%.	Margin expansion demonstrates operating leverage and supports earnings growth even as revenue growth slows.
Advertising	Advertising revenue was still growing rapidly, although management reduced the 2026 target to about $2.7 billion.	Advertising is an important growth driver, but product delays and partner integration issues create execution risk.
International growth	India viewing hours rose 24% and revenue grew nearly 20%; most regions recorded double-digit constant-currency growth.	International markets provide a long runway and reduce dependence on the mature US market.
Cash deployment	$4.8 billion of shares were repurchased in Q3.	Strong cash generation supports capital returns, though repurchases create value only when the shares are attractively priced.
Engagement	Management acknowledged that viewing-hour growth was below its ambition.	Weak engagement could eventually limit pricing power, advertising inventory, and subscriber retention.

3. Valuation

At approximately $61.60 per share, Netflix had a market capitalization of around $253 billion and traded at roughly 17.7 to 18 times forward earnings. This was below the cited S&P 500 forward P/E of 19.2 times. The valuation appears reasonable if Netflix can sustain double-digit revenue growth, expand operating income by approximately 20%, and continue returning cash to shareholders.

The lower valuation does not automatically mean the stock is undervalued. The market may be discounting slower growth, weaker viewing-hour momentum, and uncertainty over the advertising business. My valuation view is therefore conditional: the stock looks attractive relative to its growth and margin profile, but **only if engagement stabilizes and advertising execution improves**.

4. Investment Thesis

1. Strong earnings and margin profile. Netflix continues to grow revenue at a double-digit rate while producing record operating margins. This combination can support earnings growth faster than revenue growth.
2. Global scale and remaining penetration opportunity. The company has extensive reach but still serves less than half of global broadband households. International growth, particularly in markets such as India, provides further room for expansion.
3. Advertising creates an additional monetisation engine. The advertising tier can attract more price-sensitive users and increase revenue per member. It also gives Netflix another way to monetise viewing time beyond subscription fees.
4. Valuation has become more reasonable. The decline from the previous high has reduced the earnings multiple to roughly 18 times, which appears more attractive than the valuation attached to Netflix during periods of stronger market optimism.

5. Key Risks and Counterarguments

- **Viewing-time competition:** YouTube reportedly reached 14.2% of US television time compared with 7.8% for Netflix. Netflix also competes with short-form social videos for limited consumer attention.
- **Content fragmentation:** Popular films and series are distributed across multiple platforms. Netflix is no longer the automatic destination for every widely discussed title, weakening the convenience that once differentiated the platform.
- **Pricing and value perception:** Higher subscription prices increase revenue but also require the service to deliver more value per hour watched. If engagement weakens, users may cancel or move to lower-priced alternatives.
- **Advertising execution:** The advertising business is growing, but management indicated that new products and partner integrations were behind schedule. Slower execution could delay expected growth.
- **Maturing growth profile:** Revenue growth slowed for several consecutive quarters. A lower growth rate could justify a lower valuation multiple even if margins remain strong.
- **Management and content transition:** Changes in content leadership may improve execution, but they also create uncertainty over content strategy and organizational stability.

6. Investment Decision and Position Management

Based on the available evidence, I would classify Netflix as a conditional buy and would prefer to accumulate gradually rather than invest the full amount immediately. The current valuation provides a more attractive entry point than the previous peak, but the investment case still depends on execution.

<u>My key monitoring indicators would be:</u>

- Revenue growth and operating-margin progression
- Viewing-hour growth, particularly in the United States
- Advertising revenue and progress towards management targets
- Churn following price increases
- International performance, especially in high-growth markets
- Free-cash-flow generation and the price paid for share repurchases

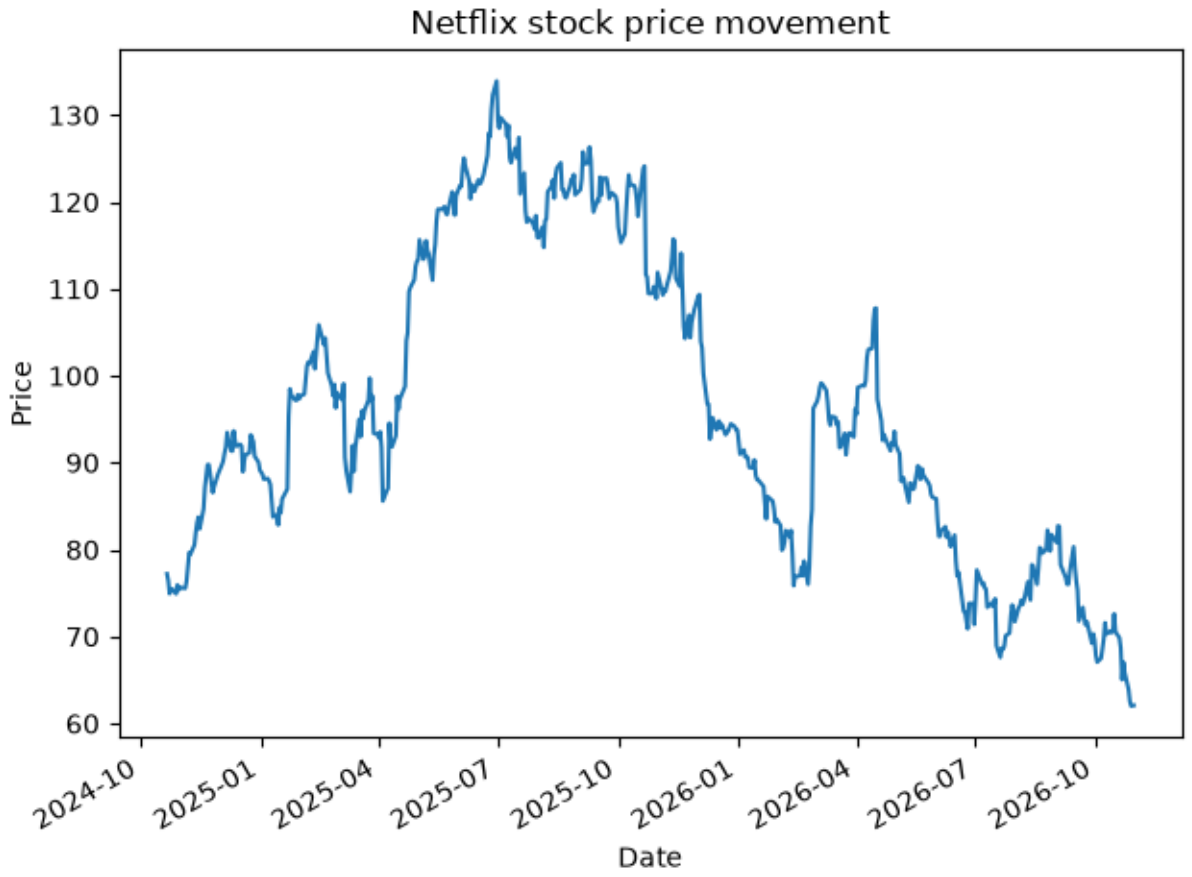
I would reconsider the investment if Netflix experienced sustained deterioration in viewing hours, rising churn after price increases, repeated advertising execution delays, or a material decline in margins.
Conversely, stronger engagement and successful advertising expansion would increase my confidence in the investment thesis.

Reference

- Netflix Q3 2026 earnings call transcript
- Netflix plan and pricing information
- Nielsen July Gauge report
- Yahoo Finance: Netflix market data
- TheStreet: Netflix and YouTube viewing competition
- The Motley Fool: Netflix valuation and viewing-time analysis

BUY-AND-SELL STRATEGY FOR NETFLIX

An Optimised Four-Moving-Average Leveraged Momentum Model



Prepared by KAN Wai Kit (Joe)

Study period: 21 October 2024 to 30 October 2026

Executive Summary

This report develops and evaluates a rule-based trading strategy for Netflix using Python. The strategy examines the stock's price movement through four moving averages and adjusts exposure according to the strength and direction of trend alignment. The objective is to determine whether a systematic approach can outperform a buy-and-hold benchmark over the selected period.

Test-period return	Buy-and-hold return	Full-period strategy return	Strategy Sharpe ratio
56.325%	**-32.610%**	**456.659%**	**1.662**

Key conclusion. The model outperformed the buy-and-hold approach in the reported test period and over the full selected sample.

Assumption: there are no transaction costs, bid-ask spreads, short-borrowing costs, and leverage financing costs.

1. Strategy Overview

This analysis uses a four-moving-average leveraged momentum strategy. The four trend lines are:

- Fast moving average (Fast MA)
- Medium moving average (Medium MA)
- Intermediate moving average (Intermediate MA)
- Slow moving average (Slow MA)

The rolling-window lengths increase from the Fast MA to the Medium MA, Intermediate MA, and Slow MA. The Fast MA therefore uses the shortest window and responds most quickly to recent price changes, while the Slow MA uses the longest window and reflects the broader trend.

2. Model Methodology

Python is the main tool used for data preparation, calculation, optimisation, and backtesting. The model uses a chronological train-test split: 75% of the observations are used to identify the four rolling windows, and the remaining 25% are reserved for out-of-sample testing. The key part of the model is the algorithm, which is used to derive the right rolling window.

Step	Stage	Description
1	**Prepare the data**	Retrieve and clean Netflix historical closing prices, then calculate daily simple and log returns.
2	**Generate candidate windows**	Create candidate rolling-window lengths and evaluate all valid four-window combinations in ascending order.
3	**Assign positions**	Use moving-average alignment to determine long, short, and leveraged positions.
4	**Optimize**	Select the window combination that produces the highest training-period strategy return.
5	**Backtest**	Apply the selected windows to the test period and compare performance with buy and hold.

3. Position Rules

Moving-average condition	Position	Meaning
Fast > Medium > Intermediate > Slow	**2**	2x leveraged long
Fast < Medium < Intermediate < Slow	**-2**	2x leveraged short
Fast > Medium, but not fully aligned	**1**	Normal long
Fast < Medium, but not fully aligned	**-1**	Normal short
Insufficient data or equal MAs	**0**	No position

A one-period lag is applied to the position before calculating strategy returns. This ensures that a signal formed using the current day's closing price affects the next trading period rather than the return that has already occurred.

4. Model Training Results

The optimisation process selected the following rolling windows from the training sample:

Fast MA	Medium MA	Intermediate MA	Slow MA
3 days	**5 days**	**6 days**	**7 days**

The selected windows are short and closely spaced. This makes the strategy highly responsive to recent price changes.

Different stocks may have their own suitable rolling windows, which are not necessarily unchanged forever. Hence, the results computed for Netflix are not automatically applicable to other stocks and are not always the same as they are now.

5. Out-of-Sample Test Results

The selected parameters were applied to the remaining 25% of the data. Buy and hold is used as the benchmark for evaluating the model.

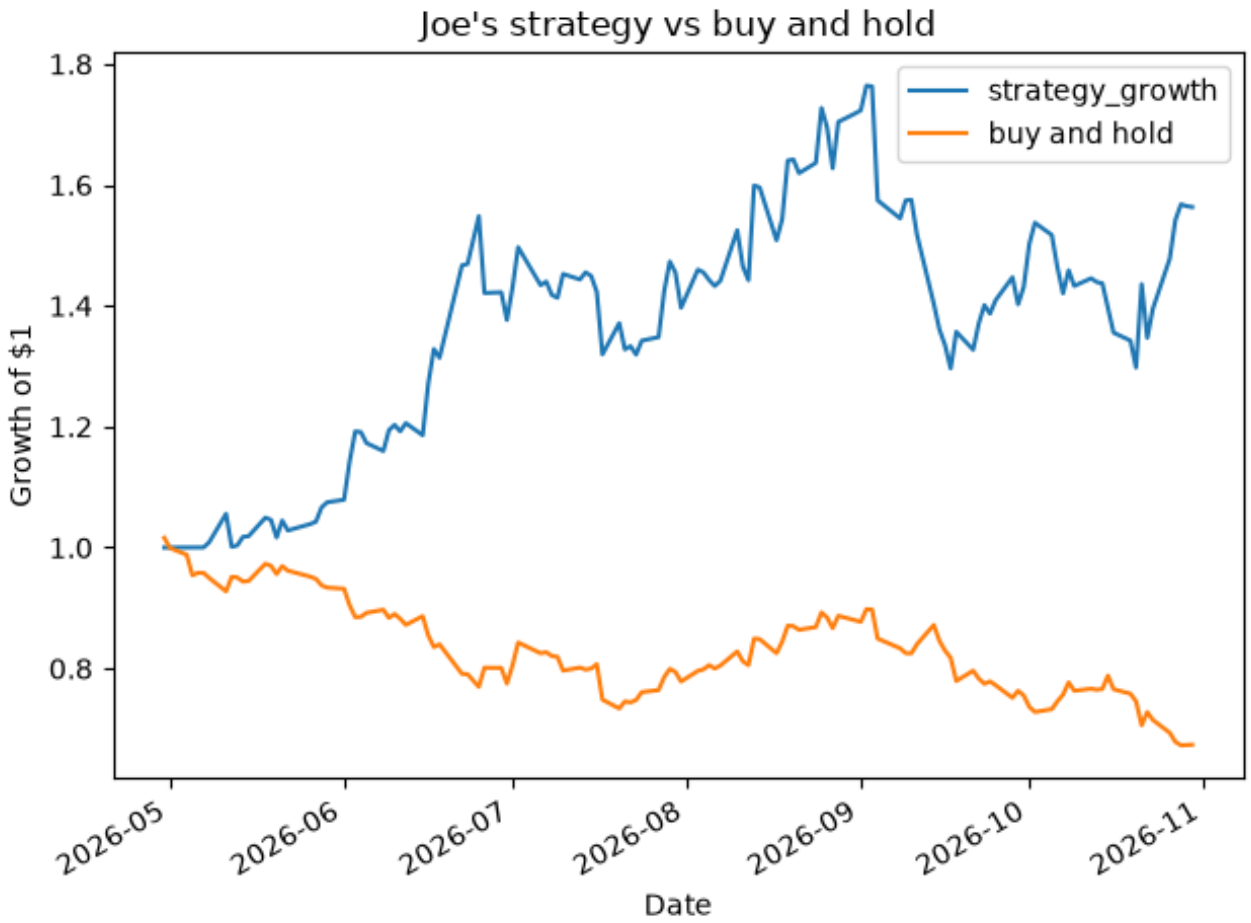


Figure 1. Out-of-sample growth of $1: strategy versus buy and hold.

From 30 April 2026 to 30 October 2026, my strategy generated a return of 56.325%, while buy and hold returned -32.610%. This indicates that the strategy performed strongly during the test period, particularly because the long-short rules allowed the model to take negative exposure when the moving averages indicated a downward trend.

6. Full-Period Illustration

For a longer illustration, I applied the trained parameters to the entire selected period. This chart includes the training observations.



Figure 2. Full-period growth of $1: strategy versus buy and hold.

Between 21 October 2024 and 30 October 2026, the strategy generated a reported return of **456.659%**, compared with **-19.593%** for buy and hold. My strategy outperforms the buy-and-hold method because when the stock market crashes, Netflix's stock price will fall, making the buy-and-hold method ineffective. Yet my strategy sells and buys at the right timing to profit.

7. Risk Adjustment Performance

Measure	Strategy	Buy and hold
Annualized Sharpe ratio	1.662	-0.263

The strategy Sharpe ratio of 1.662 indicates good historical risk-adjusted performance, while the negative buy-and-hold Sharpe ratio indicates that the benchmark underperformed the assumed risk-free return over the evaluation period after accounting for volatility.

Risk-free-rate assumption. An annualized three-month US Treasury yield of 4.16% is used as the risk-free-rate proxy. A short-term Treasury rate is appropriate because it represents a liquid, government-backed, cash-like alternative with relatively limited duration risk. The annual rate is converted to a daily equivalent before calculating daily excess returns.

8. Limitations and Practical Considerations

- The results exclude transaction costs, bid-ask spreads, slippage, leverage financing costs, and short-borrowing fees.

- The selected windows are very short, which may generate frequent position changes and reduce performance after costs.
- Leveraged positions magnify both gains and losses and may be subject to margin requirements or forced deleveraging.

9. Conclusion

This report presents an optimised four-moving-average leveraged momentum strategy for Netflix. The strategy uses systematic rules to identify bullish and bearish trend alignment, increases exposure when all four moving averages agree, and compares the resulting performance with buy and hold. The reported test-period return and Sharpe ratio are encouraging. However, the results should be interpreted cautiously because the model does **not yet incorporate realistic trading costs**.

Appendix A. Python Code

The analytical logic remains my own work and intellectual property.

```
import matplotlib.pyplot as plt
import pandas as pd
import numpy as np

import statsmodels.api as sm
import requests
from itertools import combinations

particular_date = pd.Timestamp.today().strftime('%Y-%m-%d')
url = (f"https://api.nasdaq.com/api/quote/NFLX/historical?"
       f"assetclass=stocks&fromdate=2021-10-21&limit=9999"
       f"&todate={particular_date}&random=28")

headers = {
    'User-Agent': (
        'Mozilla/5.0 (Windows NT 10.0; Win64; x64) AppleWebKit/537.36 (KHTML, like Gecko) Chrome/155.0.0.0 Safari/537.36'
    ),
    'Accept': 'application/json, text/plain, */*',
    'Origin': 'https://www.nasdaq.com',
    'referer': 'https://www.nasdaq.com/'
}

response = requests.get(url, headers=headers)
data = response.json()

df = pd.DataFrame(
    data['data']['tradesTable']['rows']
)

df = df.rename(columns={'close/Last':'close'})

column_to_be_dropped = [
    'open',
    'high',
    'low',
    'volume'
]

df = df.drop(columns=column_to_be_dropped)

df['close'] = pd.to_numeric(
    df['close']
    .astype(str)
    .replace('[$]','',regex=True),
    errors='coerce'
)

df['date'] = pd.to_datetime(
    df['date'],
    format='%m/%d/%Y',
)

df = df.set_index('date')
df = df.sort_index()

# set a study period
start_date = '2024-10-21'
end_date = df.index[-1]

df = df.loc[start_date:end_date]

# calculate log return
df['Log close price'] = np.log(df['close'])
df['Log return'] = (df['Log close price'] -
                    df['Log close price'].shift(1))

df['Rolling volatility'] = (
    df['Log return'].rolling(window=20).std() * np.sqrt(252)
)
df['Rolling variance'] = df['Rolling volatility'] ** 2

# calculate the return
df['return'] = df['close'].pct_change()

# plot the stock price movement
df['close'].plot()

plt.title('Netflix stock price movement')
plt.xlabel('Date')
plt.ylabel('Price')
plt.tight_layout()
plt.show()

# plot log return movement
plt.plot(
```

```
    df.index,
    df['Log return']
)
plt.title(
    f"Netflix Daily Log Returns: "
    f"{df.index.min().date()} to "
    f"{df.index.max().date()}"
)

plt.xlabel('date')
plt.ylabel('Log return')
plt.tight_layout()
plt.show()

df['5D MA'] = df['close'].rolling(5).mean()
df['10D MA'] = df['close'].rolling(10).mean()
df['20D MA'] = df['close'].rolling(20).mean()
df['50D MA'] = df['close'].rolling(50).mean()

# plot the MA
df[[
    'close',
    '20D MA',
    '10D MA',
    '5D MA'
]].plot()

days_10_above_20 = (
    df['20D MA'] < df['10D MA']
).sum()

days_10_below_20 = (
    df['20D MA'] > df['10D MA']
).sum()

ma_count_df =pd.DataFrame({
    'days_10_above_20': [days_10_above_20],
    'days_10_below_20': [days_10_below_20]
})

ma_count_df.plot(
    kind='bar'
)
plt.title('10-Day MA versus 20-Day MA')
plt.xlabel('days')
plt.ylabel('Number of trading days')
plt.tight_layout()
plt.show()

# set the trading strategy
df['position'] = np.select(
    [df['20D MA'] < df['10D MA'],
     df['20D MA'] > df['10D MA']],
    [1,-1], default = 0
)

df['trade'] = df['position'].diff()

df['trade signal'] = np.select(
    [
        df['trade'] ==2,
        df['trade'] ==-2,
        df['trade'] ==1,
        df['trade']==-1
    ],
    [
        'switch to long',
        'switch to short',
        'Enter long',
        'Enter short'
    ], default='No trade'
)

# plot the signal
signal_count = df['trade signal'].value_counts()

ax = signal_count.plot(kind='bar')
ax.set_title('Number of Trading Signals')
ax.set_xlabel('signal')
ax.set_ylabel('Number of observations')

ax.bar_label(ax.containers[0])

plt.tight_layout()
plt.show()

# develop an optimized model

# this part is the algorithm but is removed

highest_return = result_df['total_return'].max()
```

```
best_return_index = result_df['total_return'].idxmax()

best_fast_window = result_df['fast_window'].loc[best_return_index]
best_medium_window = result_df['medium_window'].loc[best_return_index]
best_intermediate_window = result_df['intermediate_window'].loc[best_return_index]
best_slow_window = result_df['slow_window'].loc[best_return_index]

print(f'best fast window: {best_fast_window}')
print(f'best medium window: {best_medium_window}')
print(f'best intermediate window: {best_intermediate_window}')
print(f'best slow window: {best_slow_window}')

test_df['best fast window'] = test_df['close'].rolling(best_fast_window).mean()
test_df['best medium window'] = test_df['close'].rolling(best_medium_window).mean()
test_df['best intermediate window'] = test_df['close'].rolling(best_intermediate_window).mean()
test_df['best slow window'] = test_df['close'].rolling(best_slow_window).mean()

# this part is the algorithm but is removed

test_df['position'] = pd.Series(test_df['position'], index=test_df.index)
test_df['strategy_return'] = test_df['position'].shift(1) * test_df['return']
test_df['strategy_growth'] = (1 + test_df['strategy_return'].fillna(0)).cumprod()
test_df_total_return = test_df['strategy_growth'].iloc[-1] - 1
test_df['strategy_peak'] =  test_df['strategy_growth'].cummax()
test_df['drawdown'] = test_df['strategy_growth'] / test_df['strategy_peak'] - 1
test_df_max_drawdown = test_df['drawdown'].min()

test_df['buy and hold'] = (1+test_df['return'].fillna(0)).cumprod()

# plot the test result
test_df[
    [
        'strategy_growth',
        'buy and hold'
    ]
].plot()

plt.title('Joe\'s strategy vs buy and hold')
plt.xlabel('Date')
plt.ylabel('Growth of $1')
plt.tight_layout()
plt.show()

print(f'\nBacktest result of the investment period '
      f'{test_df.index[0].date()} to {test_df.index[-1].date()}:')

if (test_df['strategy_growth'].iloc[-1] - 1
        > test_df['buy and hold'].iloc[-1] - 1):
    print('Conclusion: Joe\'s strategy outperforms the buy-and-hold method.')
else:
    print('Conclusion: Joe\'s strategy underperforms the buy-and-hold method.')

print(f'Terminal strategy return: {test_df['strategy_growth'].iloc[-1] - 1:.3%}')
print(f'Terminal buy-and-hold return: {test_df['buy and hold'].iloc[-1] - 1:.3%}')

# apply the strategy to the entire selected dataset
df['best fast window'] = df['close'].rolling(best_fast_window).mean()
df['best medium window'] = df['close'].rolling(best_medium_window).mean()
df['best intermediate window'] = df['close'].rolling(best_intermediate_window).mean()
df['best slow window'] = df['close'].rolling(best_slow_window).mean()

# this part is the algorithm but is removed

df['position'] = pd.Series(df['position'], index=df.index)
df['strategy_return'] = df['position'].shift(1) * df['return']
df['strategy_growth'] = (1 + df['strategy_return'].fillna(0)).cumprod()
total_return_df = df['strategy_growth'].iloc[-1] - 1
df['strategy_peak'] =  df['strategy_growth'].cummax()
df['drawdown'] = df['strategy_growth'] / df['strategy_peak'] - 1
df_max_drawdown = df['drawdown'].min()

df['buy and hold'] = (1+df['return'].fillna(0)).cumprod()

# plot the entire result
df[
    [
        'strategy_growth',
        'buy and hold'
    ]
].plot()

plt.title('Joe\'s strategy vs buy and hold')
plt.xlabel('Date')
plt.ylabel('Growth of $1')
plt.tight_layout()
plt.show()

print(f'\nBacktest result of the investment period '
      f'{df.index[0].date()} to {df.index[-1].date()}:')

if (df['strategy_growth'].iloc[-1] - 1
        > df['buy and hold'].iloc[-1] - 1):
```

```
    print('Conclusion: Joe\'s strategy outperforms the buy-and-hold method.')
else:
    print('Conclusion: Joe\'s strategy underperforms the buy-and-hold method.')

print(f'Terminal strategy return: {df['strategy_growth'].iloc[-1] - 1:.3%}')
print(f'Terminal buy-and-hold return: {df['buy and hold'].iloc[-1] - 1:.3%}')

# calculate the sharpe ratio for the entire selected data
annual_df = 0.0416
daily_rf = (1+annual_df) ** (1/252) - 1

strategy_excess_return = df['strategy_return'] - daily_rf
strategy_sharpe = (strategy_excess_return.mean()
                   / strategy_excess_return.std()) * np.sqrt(252)

buy_and_hold_excess_return = df['return'] - daily_rf
buy_and_hold_sharpe = (buy_and_hold_excess_return.mean()
                       /buy_and_hold_excess_return.std()) * np.sqrt(252)

print(f'Strategy Sharpe Ratio: {strategy_sharpe:.3f}')
print(f'Buy-and-hold Sharpe Ratio: {buy_and_hold_sharpe:.3f}')
```